

Insurance versus Investments

As I mentioned before, retirement income planning has emerged as a distinct field in the financial services profession. But due in part to its relatively new status, the best approach for building a retirement income plan remains elusive. Two fundamentally different philosophies for retirement income planning—which I call “probability-based” and “safety-first”—diverge on the critical issue of where a retirement plan is best served: in the risk/reward trade-offs of an equity portfolio, or in the contractual guarantee of insurance products. The fundamental question asks which type of strategy can best meet the retirement income challenge of combining retirement income tools to meet goals and manage risks.

Those favoring investments (the probability-based) rely on the notion that the market will eventually provide favorable returns for most retirees. Though stock markets are volatile, stocks can be expected to outperform bonds over a reasonable amount of time. The investments crowd considers upside potential from a portfolio to be so significant that insurance solutions can only play a minimal role. Why needlessly cut off the upside? In addition, the investments side feels a general unease about relying on the long-term prospects of insurance companies or bond issuers to meet contractual obligations. Perhaps not fully understanding the implications of how sequence-of-returns risk differs from market risk, the probability-based school believes that in the rare event that the performance for the equity portfolio does not materialize, an economic catastrophe will sink insurance companies as well. This volume specifically focuses on the probability-based approach.

Meanwhile, those favoring insurance (safety-first) believe that contractual guarantees are reliable and that staking your retirement income on the assumption that favorable market returns will eventually arrive is emotionally overwhelming and dangerous. The insurance side is clearly more concerned with the implications of market risk than those favoring investments, believing that even with a low probability of portfolio depletion, a retiree gets only one opportunity for a successful retirement. At the very least, they say, essential income needs should not be subject to the